



AGENDA BILL

Agenda Item No. 9.A.

Date: May 6, 2025
To: El Cerrito City Council
From: Crystal Reams, Finance Director/City Treasurer, Finance Department
Subject: FY 2024-25 Third Quarter General Fund Budget Quarterly Update through March 2025

ACTION PROPOSED

Receive and file an update on City General Fund revenues and expenses for FY 2024-25 through March 2025.

BACKGROUND AND ANALYSIS

The El Cerrito City Council adopted an annual Budget for FY 2024-25 on June 18, 2024, as part of the FY 2024-25 and 2025-26 Biennial Budget. The Council has closely monitored the City's budget and financial position and directed City staff to submit quarterly General Fund financial update reports.

The General Fund Update (Attachment 1) includes information on revenues and expenditures and lists the year-to-date totals by classification and by department. This report summarizes the major General Fund revenue and expenditure categories through March 31, 2025, on a cash basis (excluding the pre-payment of the City's UAL) and includes comparisons to the prior year's actuals. Similar to the third quarter reports from prior fiscal years, revenue cycles for many revenue sources - including property taxes - occur in the second, third and fourth quarters of the fiscal year. Consequently, revenue receipts are not realized in equal quarterly amounts.

The following are FY 2024-25 highlights occurring for the report period of July 1, 2024, through March 31 2025, and reflect preliminary unaudited cash basis information:

1. Total revenue was \$34 million, approximately 66% of the amended FY 2024-25 budget. As a reminder, property taxes are the City's largest income category and are received in December and April each year. The majority of revenues are non-departmental, as they are general and not allocated to one department.
2. Real property transfer taxes collected through January (cash basis) are \$1.75 million which is 59% of the adopted FY 2024-25 budget. This is in line with what was collected in the third quarter of FY 2023-24 at 56% of the adopted budget.
3. Total expenditures were \$38.5 million, approximately 73% of the amended budget, which is slightly higher than the 71% from the third quarter of FY 2023-24.

4. Personnel costs of \$28.2 million include all personnel related costs, approximately 74% of the amended budget. Personnel is the largest component of General Fund expenditures (72%). Currently, the City has a 9.16% vacancy rate.

STRATEGIC PLAN CONSIDERATIONS

This report is consistent with the City's Strategic Plan Goal High-Performing Organization: Ensure the City maintains a strong financial position – and will allow the City Manager to develop a plan to ensure that Citywide revenue meets the cost of providing Citywide services, including adequate reserves in the face of significant unanticipated revenue shortfalls. It further ensures procedures that represent best practices in financial management.

ENVIRONMENTAL CONSIDERATIONS

This section is not applicable to this agenda item.

FINANCIAL CONSIDERATIONS

The unaudited FY 2024-25 General Fund third Quarter Update reflects revenues totaling \$34 million (66% of budget), and expenditures at a total of \$38.5 million (73% of budget). The projected unaudited year-end total fund balance is estimated to be \$21.9 million; this includes \$9 million designated for the EDRF and \$1.4 million in the Section 115 Trust.

LEGAL CONSIDERATIONS

This section is not applicable to this agenda item.

Reviewed by:

A handwritten signature in blue ink, appearing to read "Karen Pinkos".

Karen Pinkos, City Manager

Attachments:

1. FY 2024-25 3rd Quarter General Fund Update



General Fund Budget Update

Quarter 3 FY 2024-25
01/01/2025 – 03/31/2025

INTRODUCTION

The City of El Cerrito is pleased to submit the Quarter 3 FY 2024-25 General Fund Budget Update, for the period 01/01/25 through 03/31/25. The report provides a high-level overview of the City's status on the budget, with expenditures by department, showing unaudited actuals.

GENERAL FUND REVENUES

FY 2024-25 General Fund revenue is budgeted at \$51.7 million (amended). Table 1 shows the year-to-date revenues by classification, and Table 2 shows the year-to-date revenues by department. As of March 31, 2025, tax revenues are at 58% of budget, which is 4% lower than the third quarter of FY 2023-24. Property tax and Franchise tax are slightly under when compared to the prior third quarter actuals and Transient Occupancy Taxes are up by 28% compared to third quarter FY 2023-24. Real Property Transfer tax (through January) is up 3% when compared to the prior third quarter actuals. Overall General Fund Revenues for the third quarter are at 66% of the total FY 2024-25 Budget, which is in line with the 65% received for the third quarter FY 2023-24.

Table 1 reflects Real Property Transfer taxes through January, as February and March funds (totaling \$217,368 and \$277,920, respectively) have not yet been received and will be reflected in the FY 2024-25 fourth quarter update. Adding the February and March totals to the Real Property Transfer tax funds to the third quarter revenue actuals results in year-to-date revenue of \$2,252,265 or 75% of the Adopted Budget. Property Transfer taxes are trending as expected. Staff will continue to monitor revenue streams closely and will report back to the City Council as necessary.

Table 1
General Fund Revenue – Classification
Quarter 3

Classification	Budget Amount	YTD – Q3 Actuals	% of Budget	Prior YTD – Q3 Actuals
Property Taxes	\$16,461,935	\$8,875,719	54%	\$6,762,176
Sales Taxes	4,517,790	2,739,587	61%	2,388,858
Transient Occupancy Taxes	100,000	58,354	58%	45,484
Measure R Sales Tax	4,459,000	2,483,562	56%	2,474,800
Franchise Taxes	1,380,000	562,489	41%	804,319
Business License Taxes	1,182,817	1,135,283	96%	1,042,324
Property Transfer Taxes	3,000,000	1,756,977	59%	1,845,509
Utility Users' Taxes	3,694,260	2,703,480	73%	2,481,513
Other Taxes	1,500	57.3	4%	1,769
Taxes Totals	\$34,797,302	\$20,315,508	58%	\$17,846,752
Licenses & Permits	1,007,000	1,156,495	115%	995,099
Fines & Forfeitures	130,000	121,802	94%	178,023
Use of Money and Property	957,000	541,826	57%	606,916
Intergovernmental Revenues	5,334,401	4,564,374	86%	5,158,471
Charges for Services Totals	7,839,237	6,177,311	79%	6,106,694
Other Revenue Totals	630,000	378,670	60%	372,872
Other Financing Sources Totals	1,002,039	752,447	75%	488,591
Totals	\$51,696,979	\$34,008,433	66%	\$31,753,418

Table 2
General Fund Revenues – Department
Quarter 3

Revenue	Budget Amount	YTD – Q3 Actuals	% of Budget	Prior YTD – Q3 Actuals
Administration	\$11,500	\$13,331	116%	\$11,763
Community Development	2,517,396	2,215,255	88%	2,341,536
Fire	5,384,101	4,509,278	84%	3,201,133
Non-departmental	37,083,964	21,632,754	58%	21,032,214
Police	186,000	186,004	100%	212,498
Public Works	599,132	422,665	71%	526,125
Recreation	5,914,886	5,029,147	85%	4,428,149
Totals	\$51,696,979	\$34,008,433	66%	\$31,753,418

GENERAL FUND EXPENDITURES

General Fund expenditure budgets have been amended to \$52.8 million for FY 2024-25. Tables 4 and 5 show the expenditures year-to-date by classification and by department, respectively. Departments are on track for Quarter 3 at 73% of budgeted expenditures. This is slightly above the Quarter 3 FY 2023-24 expenditures at 71%.

The City Council has approved budget amendments through March 31 for a total of \$1,437,907 in expenditures; this netted with the original projected surplus of \$33,952 and a mid-year increase in revenue of \$310,535 created a planned use of fund balance (deficit) of \$1,093,420 as shown in Table 3.

Table 3

Expenditures		
Department	Description	Amount
Prior to Mid-year Adjustments		
Various Departments	Purchase Order Budget Roll-forward	\$ 603,425
Various Departments	SEIU Contract Settlement	36,622
PD & Fire	PEA & PSMA Contract Settlement	354,860
		994,907
Mid-year Adjustments		
Recreation	Childcare Program	115,000
Recreation	Swim Center Staffing	50,000
Recreation	Youth Program Instructors	60,000
City Clerk	Election and Document Management	18,000
Fire	Vehicle Maintenance	95,000
Human Resources	Legal Support	60,000
City Manager's Office	Library Project Support	45,000
	Total Expenditure Increases	\$ 1,437,907
Revenues		
Department	Description	Amount
Recreation	Recreation Programs	\$ 310,535
Original Projected Surplus		33,952
Projected Deficit/Use of Fund Balance		1,093,420

As in previous fiscal years, Personnel is the largest component of General Fund expenditures at 74%. Departments have continued to fill vacant positions, this is in line with Quarter 3 FY 2023-24 at 74%. The current vacancy rate is 9.16%.

The City has previously paid the annual workers compensation premium in two annual installments. This year the City paid the entire \$1 million premium at the beginning of the fiscal year which was allocated to departments as of the payment date; this increased expenditures by about \$500,000 compared to the prior fiscal year. In Table 4, the actual expenditures reflected in the “Other Purchased Services” classification includes the one-time full fiscal year’s annual insurance premiums which are paid each year in July; in Table 5 expenditures reflected for the Administration Department include the one-time full fiscal year’s annual payments. The City also pre-paid the CalPERS UAL contribution in full for FY 2024-25 at the beginning of the fiscal year. Since the UAL payment is significant in its amount of \$6.9 million, the City elected to record this as a pre-paid amount and an allocation is made monthly to show a more accurate representation for budget comparison, as this is how it was presented in previous fiscal years.

Table 4
General Fund Expenditures – Classification
Quarter 3

Classification	Budget Amount (Amended)	YTD – Q3 Actuals	% of Budget	Prior YTD – Q3 Actuals
Personnel	\$38,122,416	\$28,248,375	74%	\$26,029,054
Purchased Professional & Technical Services	5,460,500	3,301,731	60%	4,002,086
Purchased Property Services	2,368,877	1,491,891	63%	1,487,777
Other Purchased Services	3,927,771	3,460,001	88%	2,939,341
Supplies	876,170	536,087	61%	528,069
Property & Capital	736,513	419,222	57%	236,454
Financing Costs	539,822	260,959	48%	338,535
Other Financing Uses	758,329	758,620	100%	3,330,813
Totals	\$52,790,399	\$38,476,887	73%	\$38,892,129

Table 5
General Fund Expenditures – Department
Quarter 3

Expenditures	Budget Amount (Amended)	YTD – Q3 Actuals	% of Budget	Prior YTD – Q3 Actuals
Administration	\$7,852,678	\$5,954,912	76%	\$5,878,189
Community Development	4,133,728	2,535,683	61%	9,784,467
Fire	15,433,246	12,186,921	79%	10,419,044
Non-departmental	882,691	725,576	82%	1,868,938
Police	15,052,742	10,799,334	72%	3,126,620
Public Works	2,481,847	1,666,575	67%	4,287,906
Recreation	6,953,467	4,607,886	66%	3,526,965
Total	\$52,790,399	\$38,476,887	73%	\$38,892,129

GENERAL FUND BALANCE

The Fiscal Year 2023-24 General Fund balance was \$22.89 million. Table 6 illustrates the updated projections for the General Fund balance. Taking into consideration the Comprehensive Financial Policy that proposes a minimum General Fund Reserve amount of 17%, the City will need to have \$9.1 million in reserves, leaving just over \$2.1 million in discretionary spending for FY 2025-26.

Table 6
General Fund – Fund Balance
Quarter 3

Fund Balance Projection		
FY24 General Fund - Total Fund Balance (actual)		\$ 22,893,338
EDRF	(9,000,000)	
Section 115	(1,372,890)	
Non-Spendable	(126,751)	
FY25 Original Projected Surplus	33,952	
FY25 Approved adjustments:		
Expenditures	(1,437,907)	
Revenues	310,535	
Use of fund balance		(1,093,420)
Projected Total Ending FY25 Fund Balance		21,799,918
EDRF (Internally Restricted)	(9,000,000)	
Section 115 (Restricted)	(1,400,161)	
Non-Spendable	(126,751)	(10,526,912)
Projected FY25 Unrestricted Fund Balance		11,273,007
FY26 Expenditure Proposed Budget	53,764,017	
FY26 17% Reserve Goal		9,139,883
Projected discretionary for FY26		2,133,124
FY 25 Projected Ending Total Fund Balance		21,799,918

CONCLUSION

The City of El Cerrito is currently on track to meet our FY 2024-25 budget goals. Revenues are not received in equal quarterly releases, primarily due to the biannual funding cycle (December and April) for property taxes. Expenditures are on track, with departments spending approximately 73% of their annual budget in Quarter 3.